

Glossary

1. Inflation

A rise in the general level of prices of goods and services in an economy over a period of time. When the general price level rises, each unit of currency buys fewer goods and services. Consequently, Inflation reflects erosion in the purchasing power of money.

2. Rat Race

An endless, self-defeating or pointless pursuit. It conjures up an image of the futile efforts of a lab rat trying to escape while running around a maze or in a wheel. In an analogy to the modern city, many rats in a single maze expend a lot of effort running around, but ultimately achieve nothing (meaningful) either collectively or individually.

3. Financial Freedom or Financial Independence

The freedom to choose what you want to do and how you want to shape your life. This comes when all financial constraints are lifted and you move towards real and pleasurable goals.

4. Asset

Anything tangible or intangible that is capable of being owned or controlled and has a positive economic value- add for the owner. An asset pays the owner.

5. Financially Stable

Someone who can continue to make ends meet without a great deal of stress or difficulty. Financial stability is different from financial freedom. Such a person has just enough money to manage his or her self and the immediate family.